

## 25SMCV00582 25SMCV00582

County: los-angeles

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Case Number: 25SMCV00582 Hearing Date: August 21, 2026 Dept: 205

Superior Court of California

County of Los Angeles

Beverly Hills Courthouse | Department 205

STEPHANIE CICERI, AMY CARIA, NANCY MAHONEY, RAKHEL WILEY, and ANDREA GALINDO,

Plaintiffs,

v.

GLOBAL INTEGRITY REALTY CORPORATION, and DOES 1 through 10,

Defendants.

Case No.: 25SMCV00582

Hearing Date: August 21, 2026

[TENTATIVE] RULING RE:

DEFENDANT GLOBAL INTEGRITY REALTY CORPORATION'S MOTION FOR JUDGMENT ON THE PLEADINGS

BACKGROUND

This case arises from a landlord tenant dispute. Plaintiffs are tenants of Defendant Global Integrity Realty Corporation. They claim that defendant failed to comply with the Investigative Consumer Reporting Agencies Act (ICRAA) in connection with their rental application process. Specifically, Plaintiffs claim that Defendant obtained "investigative consumer reports" about

them, without giving them an opportunity to ask for a copy of the report and without providing a “consent form or disclosure with a box to check.” (Compl., ¶¶ 20–22.)

The operative complaint asserts three claims: (1) Violations of the Investigative Consumer Reporting Agencies Act (“ICRAA”) – Cal. Civ. Code, §§ 1786, et seq.; (2) Failure to Provide Receipt for Tenant Screening – Cal. Civ. Code, § 1950.6; and (3) Declaratory Relief.

This hearing is on Defendant’s motion for judgment on the pleadings.

## LEGAL STANDARD

A defendant may move for judgment on the pleadings when the “complaint does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subds. (b)(1) and (c)(1)(B)(ii).) “A motion for judgment on the pleadings may be made at any time either prior to the trial or at the trial itself. [Citation.]” (Ion Equipment Corp. v. Nelson (1980) 110 Cal.App.3d 868, 877.)

“A motion for judgment on the pleadings performs the same function as a general demurrer, and hence attacks only defects disclosed on the face of the pleadings or by matters that can be judicially noticed. Presentation of extrinsic evidence is therefore not proper on a motion for judgment on the pleadings.” (Cloud v. Northrop Grumman Corp. (1998) 67 Cal.App.4th 995, 999 [citations omitted].)

The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Bezirdjian v. O’Reilly (2010) 183 Cal.App.4th 316, 321–22 [citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216].)

“In the case of either a demurrer or a motion for judgment on the pleadings, leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action. Where a demurrer is sustained or a motion for judgment on the pleadings is granted as to the original complaint, denial of leave to amend constitutes an abuse of discretion if the pleading does not show on its face that it is incapable of amendment.” (Virginia G. v. ABC Unified Sch. Dist. (1993) 15 Cal.App.4th 1848, 1852 [citations omitted].)¿¿

## MEET AND CONFER

“Before filing a motion for judgment on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining if an agreement can be reached that resolves the claims to be raised in the motion for judgment on the pleadings.” (Code Civ. Proc., § 439, subd. (a).)¿

“The moving party shall file and serve with the motion . . . a declaration stating either” the means by which the parties met and conferred or that “the party who filed the pleading subject to the motion for judgment on the pleadings failed to respond to the meet and confer request . . . or otherwise failed to meet and confer in good faith.” (Code Civ. Proc., § 439, subd. (a)(3).)

Here, Defendant’s counsel attests that he sent Plaintiff’s counsel an email inviting counsel to meet and confer but counsel did not respond to his emails. Defendant’s counsel also states that any meet and confer would be a “futile exercise” because Plaintiffs’ counsel had previously indicated in other cases that they were unwilling to dismiss virtually identical complaints. (Taylor Decl., ¶¶ 6–8.)

Defendant did not properly meet and confer prior to filing its demurrer. Notwithstanding, the Court cannot overrule a demurrer based on an insufficient meet and confer.

## ANALYSIS

### ICRAA

Defendant argues that Plaintiffs' claim under the ICRAA is preempted by Section 1681m(h) of the Fair Credit Reporting Act, which states that no notice is required to be given to a consumer whose application was granted on the terms applied for. According to Defendant, requiring strict compliance with the Checkbox and Notice Requirements of the ICRAA is inconsistent with Section 1681m(h) of the FCRA.

In opposition, Plaintiffs argue that the ICRAA is not based upon a credit or insurance transaction, therefore it cannot be the basis for any perceived inconsistency with the ICRAA. Plaintiffs assert that Section 1681m(h) of the FCRA only applies to credit transactions and, thus, does not expressly preempt the notice and checkbox requirements of the ICRAA. The Court agrees with Defendant.

There are "three types of preemption under the supremacy clause: express preemption, conflict preemption, and field preemption." (Kemp v. Superior Court (2022) 86 Cal.App.5th 981, 996.) "Express preemption arises when Congress 'define[s] explicitly the extent to which its enactments pre-empt state law.'" (Id. at 997.) If there is an express preemption clause, then "statutory construction must in the first instance focus on the plain wording of the clause, which necessarily contains the best evidence of Congress' preemptive intent." (Id.)

Here, the FCRA—which was enacted in 1970 and has been amended several times since—sets forth certain requirements "concerning the creation and use of consumer reports." (Spokeo, Inc. v. Robins (2016) 578 U.S. 330, 335.) The FCRA has always preempted State law, but the scope of that preemption has changed over time.

Since its inception, the FCRA has preempted State laws "to the extent that those laws are inconsistent with any provision of" the FCRA. But in 1996, Congress emphasized that FCRA standards were national by adding a provision that further preempted any State regulation related to specifically enumerated subjects already regulated by the FCRA. (Public Law 104-208, sec. 2419, 110 Stat. 3009.) This was "a strong preemption provision" that was meant to "to avoid a patchwork system of conflicting regulations." (Ross v. FDIC (4th Cir. 2010) 625 F.3d 808, 813.) This newly added subject matter preemption provision was originally designed to expire in 2004. But in 2003, Congress made it permanent, looking to preserve the FCRA's "national standards" in order to promote economic growth. (Public Law 108-159, sec. 711, 117 Stat. 2011.)

The main preemption provision of the FCRA, 15 U.S.C. 1681t(b)(1), uses carefully crafted language to preempt several areas of state law that it intended to be governed solely by federal law. The lead paragraph states that "[n]o requirement or prohibition may be imposed under the laws of any State . . . with respect to any subject matter regulated under" each of the eleven subparagraphs. Each subparagraph then includes a provision of the FCRA followed by the phrase "relating to" and then a description of the subject matter of that provision. As relevant to this case, subparagraph (i) of section 1681t(b)(1) states no requirement or prohibition may be imposed under state law "relating to the duties of users of consumer reports to provide notice with respect to terms in certain credit transactions." (Emphasis added.)

In crafting section 1681t(b)(1), Congress chose a series of broad and expansive phrases. To begin with, the phrase "[n]o requirement or prohibition" in the context of preemption "sweeps broadly" and applies to all State laws, whether enacted by a legislature or decreed by a common-law court. (Cipollone v. Liggett Grp., Inc. (1992) 505 U.S. 504, 521.) Next, a phrase like "with respect to" also "has a broadening effect, ensuring that the scope of a provision covers not only its subject but also matters relating to that subject." (Lamar v. Archer & Cofrin LLP v. Appling (2018) 138 S. Ct. 1752, 1760 (interpreting "respecting"); see also United States v. Tohono O'Odham Nation (2011) 563 U.S. 307, 312 ("in respect to").)

The word “any,” when “[r]ead naturally,” also has “an expansive meaning, that is, one or some indiscriminately of whatever kind.”<sup>2</sup> (United States v. Gonzales (1997) 510 U.S. 1, 5 (quoting Webster’s Third New International Dictionary 97 (1976).) A “subject matter” is generally defined as an “issue presented for consideration” or “the thing in dispute.”<sup>3</sup> (Black’s Law Dictionary (12th ed. 2024).) Finally, “the phrase ‘relate to’ in a preemption clause express[es] a broad pre-emptive purpose,” and is typically used by Congress “to reach any subject that has a connection with, or reference to, the topics the statute enumerates.” (Coventry Health Care of Missouri, Inc. v. Nevils (2017) 581 U.S. 87, 96.)

Read together, these “deliberately expansive”<sup>4</sup> terms can mean only one thing: Congress meant to occupy the field of consumer reporting and displace State laws within that field. By preempting laws respecting the “subject matter” of some of FCRA’s broadest provisions—and then defining that subject matter in broad terms through the “relating to” clause—Congress plainly meant to sweep away most state regulation in the area.

Legislative history “need not be consulted when, as here, the statutory text is unambiguous.” (United States v. Woods (2013) 571 U.S. 31, 46 n. 5.) But even the legislative history of section 1681t(b) confirms that Congress intended to broadly displace state laws on consumer reporting.

As noted above, when the FCRA was enacted in 1970, it preempted only conflicting State laws. Congress expanded FCRA preemption when it first enacted section 1681t(b) in 1996, reaching a wide swath of State laws that were more protective than the FCRA. When section 1681t(b) was first added to the FCRA in 1996, members of Congress made clear that the preemption clause was intended to usher in a national credit reporting system. As Representative Castle explained, the 1996 amendments to the FCRA “recognize[d] that the credit industry is now a complex, nationwide business” and established “a uniform, national standard for credit reporting.” (140 Cong. Rec. 25871 (Sept. 27, 1994).) The broad preemption under section 1681t(b) would “allow businesses to comply with one law on credit reports rather than a myriad of State laws,” thereby “benefit[ing] consumers and businesses.”<sup>5</sup> (Id.) In other words, the preemption clause was specifically intended to avoid “a patchwork of State laws.”<sup>6</sup> (140 Cong. Rec. 25867 (Sept. 27, 1994) (Rep. Thomas).)

While the 1996 amendment contained a sunset provision, in 2003, Congress decided to make permanent section 1681t(b) in order to “enhance the national credit reporting system.”<sup>7</sup> (H.R. Rep. 108-396 (conference report).) As Representative Kanjorski noted, the 1996 amendments had “created a nationwide consumer credit system that works increasingly well,” by “expand[ing] access to credit, lower[ing] the price of credit, and accelerat[ing] decisions to grant credit.”<sup>8</sup> (149 Cong. Rec. 21742 (Sept. 10, 2003).) The key to this nationwide credit system was “the establishment of the uniform system that preempts States from enacting miscellaneous and potentially conflicting requirements regarding credit reporting.” (Id.) Representative Oxley noted that “[t]he protection and growth of these services, as provided for in [the FCRA], are critical to the success of our economy.”<sup>9</sup> (149 Cong. Rec. 30771 (Nov. 21, 2003).) Senator Shelby, one of the sponsors of the 2003 bill, argued that the legislation was “creating permanent national standards” for the “national credit reporting system,” which he also noted was important to “our financial markets and economy as a whole.” (149 Cong. Rec. 2680 (Nov. 4, 2003).)

Thus, as the conference report for the 2003 law noted, the amendments would “ensure the operational efficiency of our national credit system by creating a number of preemptive national standards.” (H.R. Rep. 108-396.) Congress recognized the “significant concern . . . that [these national standards] preclude states from adopting more robust consumer protections” but nonetheless concluded that “[n]ational credit markets are necessary to meet business and consumer demands and are very important to the efficient operation of the United States economy.” (S. Rep. 108-166.)

In summary, the legislative history of both the 1996 and 2003 amendments corroborates the plain text of section 1681t(b)(1). Congress clearly intended for that preemption clause to have a broad sweep.

Given the express language in section 1681t(b)(1) preempting state laws relating to the duties of users of consumer reports to provide notice with respect to terms in certain credit transactions, and the fact that the ICRAA provisions on which Plaintiffs sue relate to notice, the Court concludes that these sections of the ICRAA are preempted by section 1681t(b)(1) of the FCRA.

Plaintiff argues that there is no preemption because the FCRA applies only to credit or insurance transactions. The Court does not agree that FCRA should be construed so narrowly. The statute's definition of "consumer report" was written broadly to include everything from information bearing on "credit standing" to information about "general reputation" and "personal characteristics." If this data is sought to establish either eligibility for "credit or insurance . . . for personal, family, or household purposes," "employment purposes," or "other purposes authorized under section 1681b of this title," FCRA applies. (*Cisneros v. U.D. Registry, Inc.* (1995) 39 Cal. App. 4th 548, 561.)

In *Cisneros*, the court noted that several federal courts have held or indicated that a report used to determine a consumer's eligibility to rent housing is a transaction involving "credit" to be used for "household purposes" under subdivision (d)(1) of section 1681a. (*Id.*) In particular, *Cisneros* discussed the holding in *Cotto v. Jenney* (D.Mass. 1989) 721 F. Supp. 5, 6-7. There, the defendant "examines an individual's financial background by reporting prior incidents of non-payment of rent, . . . late payments of rent, bounced checks and court proceedings and judgments." (*Id.*) "It follows, therefore, that if [defendant] issues a report stating that a prospective tenant has fallen behind on its rent payments on a prior occasion--as apparently occurred in the present case--the landlord would certainly give pause before incurring a potential financial risk by allowing the would-be tenant to occupy the residence. It is in this sense that pursuant to the FCRA the report on [the tenant] relates to her 'credit worthiness.'" (*Id.* at 6-7.)

In sum, Plaintiff's argument that the FCRA does not apply to credit reports generated for housing application purposes is contrary to the holding in *Cisneros*. The Court, therefore, grants the motion for judgment on the pleadings without leave to amend.

#### Failure to Provide Receipt for Tenant Screening

Defendant argues that the second cause of action (for failure to provide receipt for tenant screening) fails because Civil Code section 1950.6, subdivision (d) does not provide for a civil cause of action for its alleged violation. The Court agrees.

Civil Code section 1950.6 provides: "The landlord or their agent shall provide, personally, or by mail, the applicant with a receipt for the fee paid by the applicant, which receipt shall itemize the out-of-pocket expenses and time spent by the landlord or their agent to obtain and process the information about the applicant. The landlord or their agent and the applicant may agree to have the landlord provide a copy of the receipt for the fee paid by the applicant to an email account provided by the applicant." (Civ. Code, § 1950.6, subd. (d).)

The statute contains no express private right of action for violations of this provision, and the Court cannot locate any appellate court case that recognizes an implied private right of action under section 1950.6(d). Plaintiffs' opposition does not address Defendant's arguments, and therefore, they concede to the merits of Defendant's position that there is no such cause of action.

Accordingly, the motion for judgment on the pleadings is granted as to the second cause of action without leave to amend.

#### Declaratory Relief

Plaintiffs seek a "declaration of their rights under California Code of Civil Procedure section 1060, that [Defendant's] application and annual re-certification [process] violate[s] the ICRAA, and therefore are illegal and wholly void." Defendant argues that Plaintiffs' declaratory relief claim relies on the first cause of action and therefore fails for the same reasons. The Court agrees. As the ICRAA claim is preempted by the FCRA, Plaintiffs cannot obtain a declaration that says Defendant's actions are illegal. Therefore, the Court grants the motion as to the third cause of action without leave to amend.

#### CONCLUSION

For the foregoing reasons, the Court GRANTS Defendant's motion for judgment on the pleadings without leave to amend.

Dated: August 1, 2026

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Edward B. Moreton, Jr.

Judge of the Superior Court